

# Sapientia Enterprise Finance Knowledge Pack

This document represents an internal finance knowledge base for a medium-sized enterprise. It is intended to provide business context rather than transactional data. The content describes finance concepts, policies, business rules, KPIs, governance, procurement, reporting and common terminology that an Enterprise Intelligence Platform can use to build semantic relationships.

## Finance Organisation

Finance consists of Accounts Payable, Accounts Receivable, General Ledger, Treasury, Tax, FP&A, Procurement, Payroll and Internal Audit. Each team owns different business processes but shares a common chart of accounts.

## Business Rules

- Purchase Orders above \$10,000 require manager approval.
- Purchase Orders above \$100,000 require Finance Director approval.
- Every supplier invoice must reference a valid Purchase Order unless classified as a non-PO expense.
- A supplier cannot be paid until a successful three-way match has been completed unless an approved exception exists.
- Payments are executed every Wednesday and Friday.
- Journal entries above \$50,000 require secondary approval.
- Financial periods are closed on the fifth business day of the following month.
- Revenue is recognised only after goods or services have been delivered.
- Capital expenditure must be recorded as fixed assets when it exceeds the capitalisation threshold.
- Depreciation is calculated monthly.
- All foreign currency balances are revalued at month end.
- Negative inventory is not permitted.

## Procurement Lifecycle

Business users create Purchase Requisitions which are approved and converted into Purchase Orders. Suppliers deliver goods, warehouse staff record Goods Receipts, Accounts Payable validates supplier invoices and payments are released after controls have been satisfied.

## Month-End Close

Month-end activities include accruals, prepayments, depreciation, inventory valuation, intercompany eliminations, bank reconciliations, FX revaluation, management review and financial statement publication.

## KPIs

Gross Margin, EBITDA, Operating Margin, Current Ratio, Quick Ratio, Days Sales Outstanding, Days Payable Outstanding, Inventory Turnover, Working Capital, Cash Conversion Cycle, Return on Assets, Return on Equity.

## Master Data

Critical master data includes Supplier, Customer, Product, Cost Centre, Profit Centre, Legal Entity, Business Unit, General Ledger Account, Currency and Tax Code.

## Common Risks

Duplicate supplier payments, incorrect revenue recognition, unauthorised journal entries, missing approvals, stale purchase orders, inventory valuation errors, fraud, segregation of duties conflicts.

## Finance Glossary

Accrual, Prepayment, Provision, Cost Centre, Profit Centre, Ledger, Journal Entry, Trial Balance, Materiality, Fiscal Period, Budget, Forecast, Variance, Amortisation, Depreciation, Capital Expenditure, Operating Expenditure.

### Example Finance Scenario 1

During period 1, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 2

During period 2, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 3

During period 3, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 4

During period 4, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 5

During period 5, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 6

During period 6, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 7

During period 7, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 8

During period 8, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 9

During period 9, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 10

During period 10, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation,

performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 11

During period 11, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 12

During period 12, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 13

During period 13, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 14

During period 14, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.

### Example Finance Scenario 15

During period 15, procurement identified supplier invoices awaiting approval. The Finance team reviewed matching exceptions, validated receiving documentation, performed account coding, updated accruals where necessary, and included approved transactions in management reporting. Variance analysis compared actual expenditure against budget, highlighting operational overspend, procurement savings opportunities and forecast adjustments for future months.